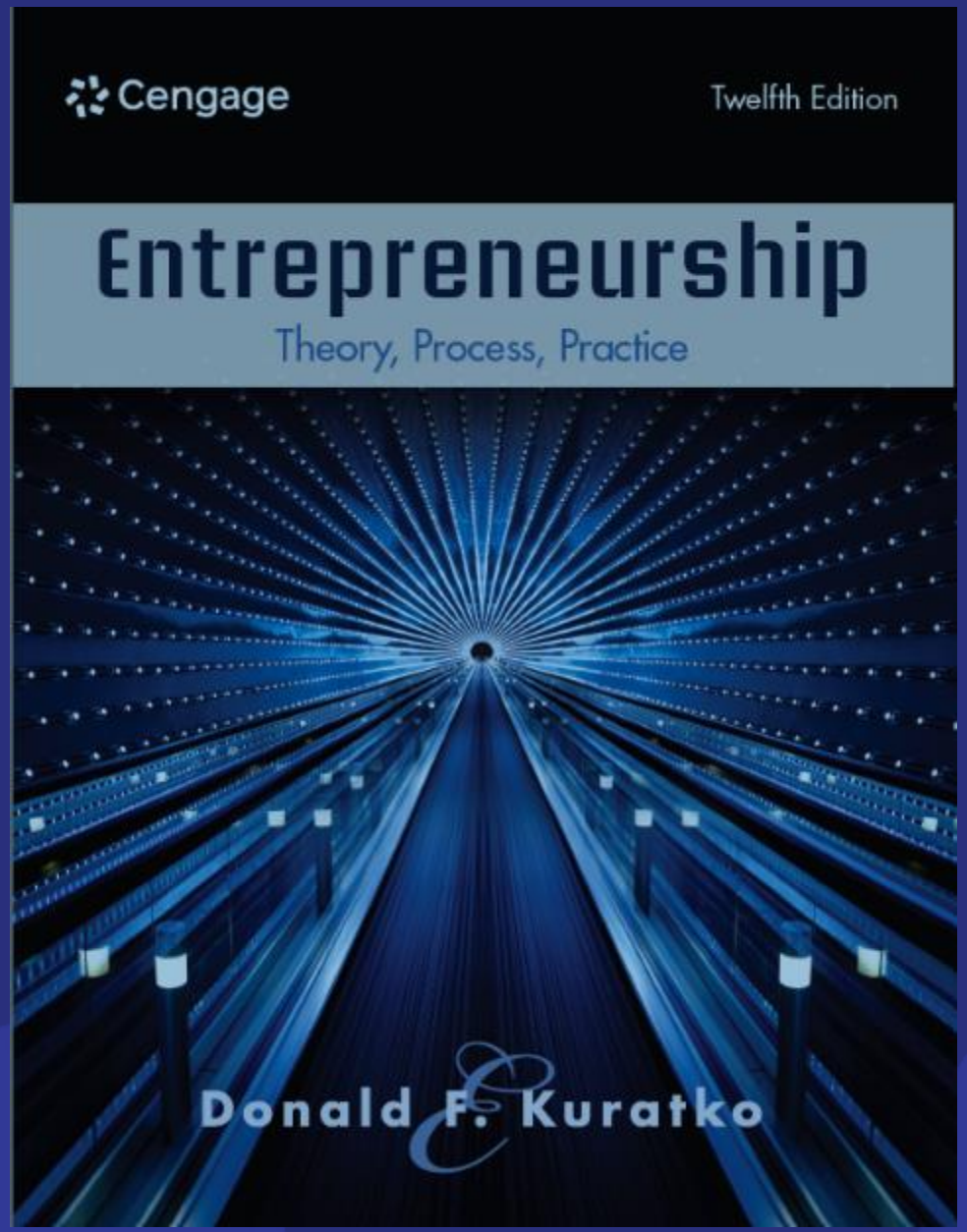


Entrepreneurship: Theory, Process, Practice, 12e

Chapter 8: Sources of Capital for Entrepreneurs

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Chapter Objectives

8.1 Explain the advantages and disadvantages of bootstrapping.
8.2 Differentiate between debt and equity as methods of financing.
8.3 Discuss commercial loans and social lending as sources of capital.
8.4 Explain initial public offerings (IPOs) as a source of capital.
8.5 Describe the special purpose acquisition companies (SPACs).
8.6 Discuss private placements as an opportunity for equity capital.
8.7 Describe the rise of crowdfunding as an increasingly potential source of funding.
8.8 Explain the market for venture capital.
8.9 Describe venture capitalists' evaluation criteria for new ventures.
8.10 Explain the importance of evaluating venture capitalists for a proper selection.
8.11 Describe the existing informal risk-capital market ("angel capital").

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The Search for Capital

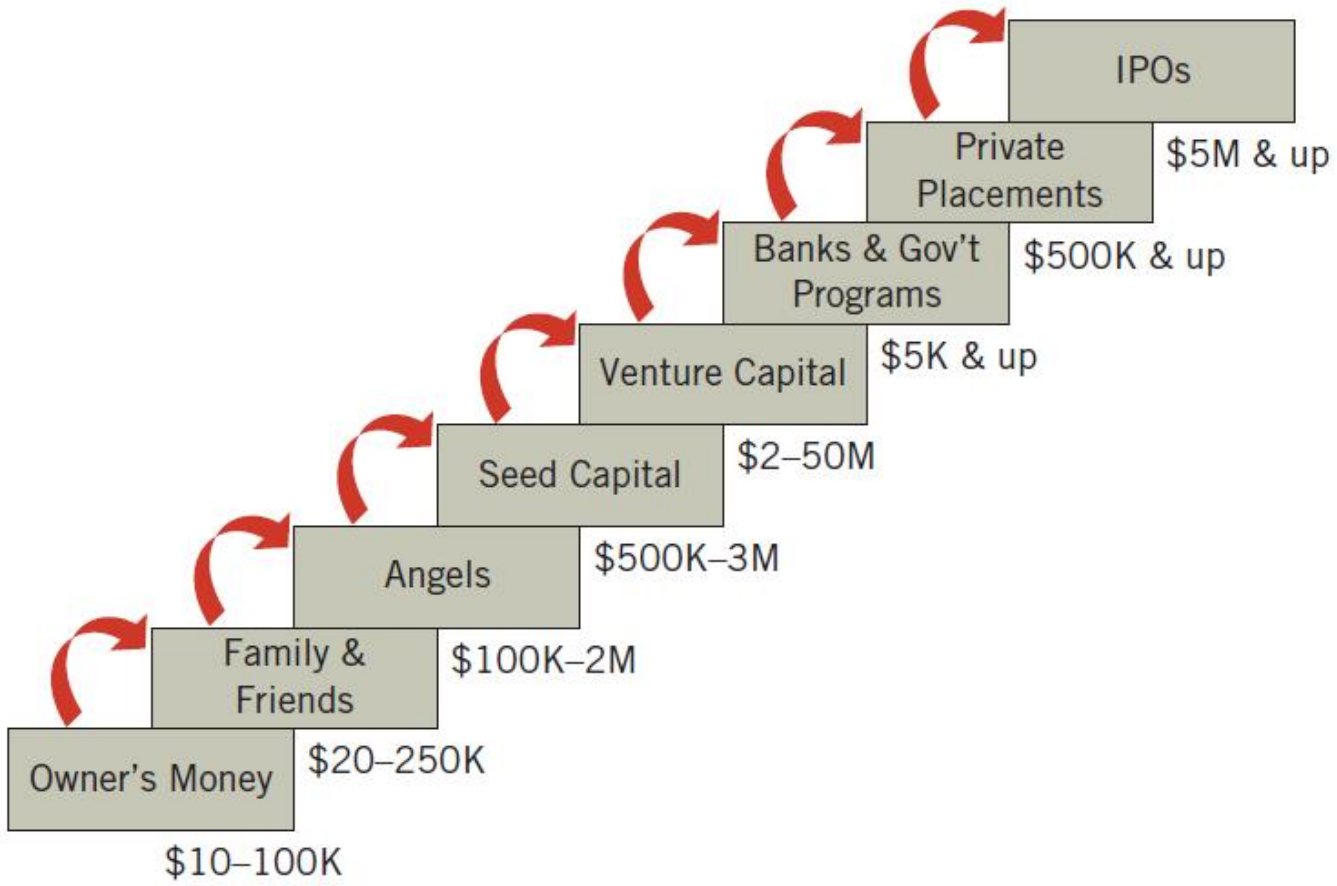
- Where to get capital?
- Sources
  - Commercial loans
  - Public offerings
  - Private placement
  - Convertible debentures
  - Venture capital
  - Informal risk capital
- Can be combination of sources
- Can be debt or equity

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Who Is Funding Entrepreneurial Start-Up Companies?

Financing Continuum

The following diagram depicts the typical financing for start-up companies.



***Source*:** "Successful Angel Investing," Indiana Venture Center, March 2008.

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Bootstrapping

- **Bootstrapping** is using personal finances or the operating revenues of the new company to build a new company.
- Strategic bootstrapping includes:
  - Delaying payments
  - Private-owner financed
  - Minimizing
  - Relationship oriented
  - Subsidy oriented

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Advantages and Disadvantages of Bootstrapping

- Advantages:
  - Cost: it is inexpensive
  - Control: no external investors
  - Concentration: can focus on business
- Disadvantages:
  - Cash: may need more funds
  - Equity: if more than one founder
  - Risk: higher due to lack of funds
  - Stress: due to money from friends and family

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Debt versus Equity Financing

- **Debt Financing**
  - Secured financing of a new venture that involves a payback of the funds plus a fee (interest) for the use of the money.
- **Equity Financing**
  - Involves the sale (exchange) of some of the ownership interest in the venture in return for an unsecured investment in the firm.

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Commercial Loans

- Commercial Banks
  - Make one- to five-year, intermediate-term loans secured by collateral (receivables, inventories, or other assets).
  - Questions in securing a loan:
    - What do you plan to do with the money?
    - How much do you need?
    - When do you need it?
    - How long will you need it?
    - How will you repay the loan?

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Debt Financing

- Advantages:
  - No relinquishment of ownership is required.
  - More borrowing allows for potentially greater return on equity.
  - Low interest rates reduce the opportunity cost of borrowing.
- Disadvantages:
  - Regular (monthly) interest payments are required.
  - Cash-flow problems can intensify because of payback responsibilities.
  - Heavy use of debt can inhibit growth and development.

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Peer-to-Peer Lending (P2P)

- **Peer-to-peer (P2P) lending** is money between unrelated individuals, or "peers," without going through a bank.
  - Are often Internet-based sites that pool money from investors willing to lend capital at agreed-upon rates.
  - Fees are applied for brokering and servicing loans.
- Possible Dangers
  - Low funding success rate
  - Business plan disclosure to the public
  - No ongoing counseling relationship
  - Potential tax liability
  - Uncertain regulatory environment

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Other Debt-Financing Sources

- **Trade Credit**
  - Credit given by suppliers who sell goods on account.
- **Accounts Receivable Financing**
  - Short-term financing that involves either the pledge of receivables as collateral for a loan or the sale of receivables at a discounted value (**factoring**).
- **Factoring**
  - Sale of accounts receivable at discounted values.
- **Finance Companies**
  - Asset-based lenders that lend money against assets such as receivables, inventory, and equipment.

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Common Debt Sources

	Business Type Financed			Financing Term	
Source	**Start-Up Firm**	**Existing Firm**	**Short Term**	**Intermediate Term**	**Long Term**
Trade credit	Yes	Yes	Yes	No	No
Commercial banks	Sometimes, but only if strong capital or collateral exists	Yes	Frequently	Sometimes	Seldom
Peer-to-peer (P2P)	Yes	Yes	Yes	Sometimes	No
Finance companies	Seldom	Yes	Most frequent	Yes	Seldom
Factors	Seldom	Yes	Most frequent	Seldom	No
Leasing companies	Seldom	Yes	No	Most frequent	Occasionally
Mutual savings banks and savings and loan associations	Seldom	Real estate ventures only	No	No	Real estate ventures only
Insurance companies	Rarely	Yes	No	No	Yes

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Equity Financing (1 of 2)

- Money invested in the venture with no legal obligation for entrepreneurs to repay the principal amount or pay interest on it.
- Requires sharing the ownership and profits with the funding source.
- Much safer option for new ventures than debt financing.
- Owner must be willing to give up part of the ownership in return for funding.

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Equity Financing (2 of 2)

- Gives investors a share of the ownership:
  - **Loan with warrants** provide the investor with the right to buy stock at a fixed price at some future date.
  - **Convertible debentures** are unsecured loans that can be converted into stock.
  - **Preferred stock** is equity that gives investors a preferred place among the creditors in the event the venture is dissolved.
  - **Common stock** is the most basic form of ownership; stock issues often are sold through public or private offerings.

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Public Offerings

- "Going public" refers to a corporation's raising capital through the sale of its securities on the stock markets.
- **Initial public offerings (IPOs)**: New issues of common stock.
- Advantages
  - Size of capital amount
  - Liquidity
  - Value
  - Image
- Disadvantages
  - Costs
  - Disclosure
  - Requirements
  - Shareholder pressure

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Group Activity 8-1

- Work in groups of two or three.
- Groups can either (1) find an example of an IPO and research its process or (2) describe the general process of an IPO.
- Groups can present their findings to the class.

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Sophisticated Investors

- Wealthy individuals who invest regularly in new and early- and late-stage ventures are called **sophisticated investors**.
- Are knowledgeable about the technical and commercial opportunities and risks of the business in which they invest.

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Crowdfunding (1 of 3)

- **Crowdfunding** seeks funding for ventures by raising monetary contributions from a large number of people, usually via the Internet.
- Three Principal Parts:
  - The entrepreneur proposes the idea and/or venture to be funded.
  - The individual or groups who support the idea.
  - A moderating organization (the “platform”) that brings the parties together to launch the idea.

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Crowdfunding (2 of 3)

- Two Distinct Forms:
  - **Rewards Crowdfunding**—The entrepreneur seeks a target amount of funding to launch a business concept without incurring debt or sacrificing equity and, in return for the donation, the entrepreneur provides some type of gift or incentive.
  - **Equity Crowdfunding**—The entrepreneur shares equity in the venture, usually in its early stages, in exchange for the money pledged.

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Crowdfunding (3 of 3)

- Potential concerns:
  - Reputation
  - Intellectual property (IP) protection
  - Donor dilution
  - Investor management
  - Public fear
- Benefits:
  - Funding
  - Profile
  - Marketing
  - Engagement
  - Feedback

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Group Activity 8-2

- Work in groups of three or four.
- Find an example of crowdfunding from at least one year ago. If possible, find the results of that fundraising effort. Is the company still viable?
- Was crowdfunding a good way to go? Why or why not?

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The Venture Capital Market

Venture Capitalists: Valuable and powerful sources of equity funding for new ventures. They provide:

- Capital for start-ups and expansion
- Market research and strategy
- Management-consulting, audits, and evaluation
- Contacts—customers, suppliers, and businesspeople
- Assistance in negotiating technical agreements
- Help in establishing management and accounting controls
- Help in employee recruitment and employee agreements
- Help in risk management and with insurance programs
- Counseling and guidance in complying with government regulations

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Recent Developments

- After decline in 2008, in 2021, venture capital invested about $330 billion in the United States, largely in the Internet, health care, telecommunications, and software.
- Such investments dropped in 2022 and 2023 due to inflation and over-valuations in earlier years.

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Trends in Venture Capital

- Dominant investor class changing to pension institutions
- Becoming more global with offices worldwide
- More specialized
- Syndicated deals are emerging
- More time/money on salvaging problem ventures
- Provide advice and counsel in addition to cash
- Corporate venture capital (CVC) growing

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Stronger Legal Environment

- Choice of securities
  - Preferred stock, common stock, convertible debt, etc.
- Control issues
  - Who maintains voting power
- Evaluation issues and financial covenants
  - Ability to proceed with mergers and acquisitions
- Remedies for breach of contract
  - Rescission of the contract or monetary damages

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Venture Capitalists' Objectives

- Focused on return on investment.
- Weight risk and potential return
- Measure product/service and the management
- Return expectations vary based on market potential, management's investment in company.
- Annual goal of 20 to 30 percent is common.

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Returns on Investment Typically Sought by Venture Capitalists

Stage of Business	Expected Annual Return on Investment	Expected Increase on Initial Investment
Start-up business (idea stage)	60% +	10 to 15 × investment
First-stage financing (new business)	40% to 60%	6 to 12 × investment
Second-stage financing (development stage)	30% to 50%	4 to 8 × investment
Third-stage financing (expansion stage)	25% to 40%	3 to 6 × investment
Turnaround situation	50% +	8 to 15 × investment

Source: Adapted from W. Keith Schilit, "How to Obtain Venture Capital," *Business Horizons* (May/June 1987): 78. Copyright © 1987 by the Foundation for the School of Business at Indiana University.

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Criteria for Evaluating New-Venture Proposals, One Study

Critical factors that are used in the evaluation of new ventures:

- Timing of entry
- Key success factor stability
- Educational capability
- Lead time
- Competitive rivalry
- Entry wedge imitation
- Scope
- Industry-related competence

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Criteria for Evaluating New-Venture Proposals, Second Study

Major categories of venture capitalist screening criteria:

- Entrepreneur's personality
- Entrepreneur's experience
- Product or service characteristics
- Market characteristics
- Financial considerations
- Nature of the venture team

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Venture Capitalists' Screening Criteria

Venture Capital Firm Requirements

- Must fit within lending guidelines of venture firm for stage and size of investment
- Proposed business must be within geographic area of interest
- Prefer proposals recommended by someone known to venture capitalist
- Proposed industry must be kind of industry invested in by venture firm

Nature of the Proposed Business

- Projected growth should be relatively large within 5 years of investment

Economic Environment of Proposed Industry

- Industry must be capable of long-term growth and profitability
- Economic environment should be favorable to a new entrant

Proposed Business Strategy

- Selection of distribution channel(s) must be feasible
- Product must demonstrate defendable competitive position

Financial Information on the Proposed Business

- Financial projections should be realistic

Proposal Characteristics

- Must have full information
- Should be a reasonable length, be easy to scan, have an executive summary, and be professionally presented
- Must contain a balanced presentation
- Use graphics and large print to emphasize key points

Entrepreneur/Team Characteristics

- Must have relevant experience
- Should have a balanced management team in place
- Management must be willing to work with venture partners
- Entrepreneur who has successfully started previous business given special consideration

Source: John Hall and Charles W. Hofer, "Venture Capitalists' Decision Criteria in New Venture Evaluation," *Journal of Business Venturing* (January 1993): 37.

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Criteria for Evaluating New-Venture Proposals, Demand Side

- Success acquiring funding related to:
  - Entrepreneur (education, experience, age)
  - Enterprise (stage, industry type, location)
  - Request (amount, business plan, capital source)
  - Source of advice (technology, business plan, funding)
- Evaluating the business plan:
  - Proposal size
  - Financial projections
  - Investment recovery
  - Competitive advantage
  - Company management

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Venture Capitalist Evaluation Process

- Stage 1: Initial Screening
  - A quick review is done of the basic venture to see if it meets the venture capitalist's particular interests.
- Stage 2: Evaluation of the Business Plan
  - A detailed reading of the plan is done to evaluate the factors mentioned earlier.
- Stage 3: Oral Presentation
  - The entrepreneur verbally presents the plan to the venture capitalist.
- Stage 4: Final Evaluation
  - After analyzing the plan and visiting with stakeholders, the venture capitalist makes a final decision.

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Discussion Activity 8-2

- Watch a segment of “Shark Tank” where an entrepreneur presents their idea and the sharks (venture capitalists) ask follow-up questions. Stop the video before any of the sharks make their decision about whether to invest.
- What questions would the class ask of the entrepreneur? Based on that limited information, the class can vote on whether they would invest, not invest, or propose a different deal.
- Can then watch the rest of the segment.
- Repeat this, if there is time.

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Evaluating the Venture Capitalist

- Key Questions:
  - Does the venture capital firm in fact invest in your industry?
  - What is it like to work with this venture capital firm?
  - What experience does the partner doing your deal have, and what is their clout within the firm?
  - How much time will the partner spend with your company if you run into trouble?
  - How healthy is the venture capital fund, and how much has been invested?
  - Are the investment goals of the venture capitalists consistent with your own?
  - Have the venture firm and the partner championing your deal been through any economic downturns?

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Informal Risk Capital: Angel Financing

- Business Angel Financing or **Angel Capital**
  - Wealthy individuals looking for investment opportunities.
  - Referred to as **“business angels”** or **informal risk capitalists**.

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Types of Angel Investors

- Corporate angels
- Entrepreneurial angels
- Enthusiast angels
- Micromanagement angels
- Professional angels

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“Angel Stats”

Typical deal size	$250,000 to $600,000
Typical recipient	Start-up firms
Cash-out time frame	5 to 7 years
Expected return	35% to 50% a year
Ownership stake	Less than 50%

Source: Jeffrey Sohl, University of New Hampshire’s Center for Venture Research, 2011; and the Halo Report, 2011.

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Pros and Cons of Dealing with Angel Investors

Pros:

1. Angels engage in smaller financial deals.
2. Angels prefer seed stage or start-up stage.
3. Angels invest in various industry sectors.
4. Angels are located in local geographic areas.
5. Angels are genuinely interested in the entrepreneur.

Cons:

1. Angels offer no additional investment money.
2. Angels cannot offer any national image.
3. Angels lack important contacts for future leverage.
4. Angels may want some decision making with the entrepreneur.
5. Angels are getting more sophisticated in their investment decisions.

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Summary

Click the link to review the objectives for this presentation.

Link to Learning Objectives

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